

**BEFORE THE
FEDERAL MARITIME COMMISSION**

.....
Docket No. CC-001
.....

MEDITERRANEAN SHIPPING COMPANY - INVESTIGATION FOR COMPLIANCE WITH
§§ 41104(a) AND 41102 OF DEMURRAGE OR DETENTION CHARGES UNDER THE
CHARGE COMPLAINT PROCEDURES OF 46 U.S.C. § 41310
.....

**DECLARATION OF WOOK CHUNG IN SUPPORT OF
MEDITERRANEAN SHIPPING COMPANY S.A.
PETITION TO DISMISS
THE CHARGE COMPLAINT AND THE ORDER TO SHOW CAUSE**

I, WOOK CHUNG, declare as follows:

1. I am a partner with the law firm Montgomery, McCracken, Walker and Rhoads LLP.
2. I submit this Declaration on behalf of my client, Mediterranean Shipping Company S.A. (“MSC”), in support to MSC’s Petition to Dismiss the Charge Complaint and Order to Show Cause dated February 3, 2023 (“Petition”).
3. I am fully familiar with the fact set forth herein.
4. On or about August 11, 2022, Mediterranean Shipping Company (USA) Inc., received a Charging Complaint number 2022004 (“Claim”) filed by SOFi Paper Products LLC (“SOFi”) involving Bill of Lading MEDUI0745188 dated July 14, 2022.
5. MSC retained Montgomery McCracken Walker Rhoads LLP as its attorneys (“MSC Attorneys”) to contact the Complainant, review the Claim, and try to amicably resolve the Claim, if deemed appropriate.
6. Between September of 2022 and October of 2022, Mr. Leeds, President of SOFi (“Leeds”)

and I, as one of the MSC Attorneys, exchanged several emails and telephone communications to discuss and amicable resolution of the Claim. The only claim we were aware of and discussed was SOFi's request to obtain a refund of the \$1,000 surcharges it paid to its freight forwarding company.

7. On or about October 6, 2022, with the authority from MSC, I sent an email to Leeds offering \$350.00 in full settlement of that Claim. (See Oct. 6-7 email exchange attached hereto as Exhibit A).

8. On or about October 7, 2022, Leeds replied to my email stating that "*we would settle for the full amount of \$1,000.*" (See Oct. 6-7 email exchange attached hereto as Exhibit A).

9. On or about November 14, 2022, the FMC's regional officer in charge of the Claim sent a notice to MSC stating that "*this case has been forwarded to the Commission's Office of Enforcement to pursue further action.*" The same notice also stated that "... parties are encouraged to continue efforts to settle disputes privately and may request that the FMC discontinue the charge complaint process at any time, by providing proof of refund, cancellation of the disputed invoice, or some other documentation of the settlement agreement to the Office of Enforcement."

10. After reviewing the circumstances of the claim with MSC, on or about November 18, 2022, I sent an email to Leeds confirming that MSC would "settle for the full amount of \$1000" so as to refund the total amount claimed according to Claimant's statement. (See Nov. 18-22 email exchange attached hereto as Exhibit B). Soon thereafter, I instructed MSC to perform the necessary paperwork to refund the amount of \$1000 to Claimant.

11. On or about November 22, 2022, Leeds replied to my email and stated that "*given our company time spent on this and time without the money, I feel it is appropriate to settle for an*

additional \$500.” (See Nov. 18-22 email exchange attached hereto as Exhibit B). There were no supports or invoices or explanation for the \$500.

12. On or about November 23, 2022 and also on or about November 28, 2022, MSC Attorneys notified the FMC’s regional officer in charge of the Claim that an offer of full refund had been made based on Claimant’s own settlement demand. The notice also specified that the Claimant was now seeking additional monies. MSC sought the assistance of the FMC’s regional officer to resolve the Claim amicably. (See Nov. 23 – Nov. 29 email exchange attached hereto as Exhibit C).

13. On or about November 29, 2022, the FMC officer replied that he was forwarding [MSC’s] emails to the Office of Enforcement at BOE@fmc.com because the “case is currently pending there.” (See Nov. 29 email attached hereto as Exhibit D).

14. On or about February 3, 2023, FMC served the Order to Show Cause on MSC.

15. On or about February 13, 2023, after some delay in trying to locate the offices of the Claimant, MSC, through its counsel, mailed a check for the full refund of \$1,000 to the SOFi’s mailing address listed with the Florida Secretary of State¹. (See check and FedEx shipping receipt attached hereto as Exhibit E). Copies of the correspondence were sent via regular mail to two other addresses also listed on the Secretary of State’s website.

16. The original check addressed to the formal “mailing address” of SOFI, as listed by the Secretary of State of Florida, was confirmed received by FedEx. (See FedEx delivery receipt attached hereto – as Exhibit F).

¹ See

<https://search.sunbiz.org/Inquiry/CorporationSearch/SearchResultDetail?inquirytype=EntityName&directionType=Initial&searchNameOrder=SOFIPAPERPRODUCTS%20M190000078620&aggregateId=forl-m19000007862-897fe79e-ba80-4d6c-87ba-c633e35db4c7&searchTerm=SOFI%20PAPER&listNameOrder=SOFIPAPERPRODUCTS%20M190000078620>

I declare under penalty of perjury that the foregoing is true and correct to the best of my knowledge.

Executed this 23rd day of February 2023, in New York, New York.

A handwritten signature in cursive script, appearing to read 'Wook Chung', written in black ink.

WOOK CHUNG

Exhibit A

Chung, Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>

Sent: Friday, October 7, 2022 9:38 AM

To: Chung, Wook <WChung@mmwr.com>

Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: Re: Charge Complaint 2022004 -

****CAUTION** External Email**

Wook,

Thank you for the offer. We would settle for the full amount of \$1000.

On Thu, Oct 6, 2022 at 10:15 PM Chung, Wook <WChung@mmwr.com> wrote:

**** SETTLEMENT PURPOSE ONLY ****

**** WITHOUT PREJUDICE ****

Dear Mr. Leeds,

Please be advised that the Client would like to resolve this matter by offering \$350.00.

If you are agreeable, please execute the settlement agreement and return the scanned copy (pdf) to us.

1

This settlement offer will be withdrawn automatically if we do not receive your signed document by **October 10, 2022, 10 AM (EST) (Monday)**. We will then report and respond to FMC and seek FMC to dismiss the case.

Please be guided accordingly.

Thank you.

Wook

Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

Tel: 212-867-9500 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)



Exhibit B

Chung, Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>

Sent: Tuesday, November 22, 2022 6:20 PM

To: Chung, Wook <WChung@mmwr.com>

Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: Re: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION** External Email**

Hello Wook,

I have been well. I hope you are doing well too.

Regarding the matter at hand, I appreciate you willing to offer a full refund. That being said, given our company time spent on this and time without the money, I feel it is appropriate to settle for an additional \$500.

It is my understanding this case is being escalated up the ranks to hopefully create a precedent for future cases.

Best,
Brandon

On Fri, Nov 18, 2022 at 10:35 AM Chung, Wook <WChung@mmwr.com> wrote:

Dear Mr. Leeds,

How are you? It has been a while.

Our client has agreed to give you the full refund. As per its protocol, we attach the settlement agreement for your review and execution.

Please send us the W9 as well.

Thank you.

Regards,

Wook

Wook Chung | Partner

Montgomery McCracken Walker & Rhoads LLP

Tel: 212-867-9500 | Fax: 212-599-5085 | wchung@mmwr.com | [Attorney Profile](#)



Exhibit C

From: Chung, Wook <WChung@mmwr.com>
Sent: Monday, November 28, 2022 8:31 PM
To: Shadrack Scheirman <sscheirman@fmc.gov>
Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: RE: Charge Complaint 2022004 - (SOFI v. MSC)

Dear Mr. Scheirman,
I hope you had a good Thanksgiving week.
Would you be able to kindly provide any guidance in this matter?

Thank you.

Wook

From: Chung, Wook
Sent: Wednesday, November 23, 2022 12:01 AM
To: Shadrack Scheirman <sscheirman@fmc.gov>
Cc: Brandon Leeds <brandon@sofipaperproducts.com>; DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: FW: Charge Complaint 2022004 - (SOFI v. MSC)

Dear Mr. Scheirman,
First, we are copying Mr. Leeds of SOFi Paper Products LLC. in this email.
As you can see below, we offered a full refund of \$1,000, the same amount that SOFi claimed in its Charge Complaint 2022004.
However, as you can see below, without any justifiable reasons, Mr. Leeds is now asking us to pay him/his company \$1,500.
We respectfully opine that this is bad faith and blatant abuse of FMC process. Further, this kind of practice will set a terrible precedent and put the entire FMC charge complaint process in question. While we understand that you decided to escalate the situation, we want to bring this matter to your attention and ask for any help and comment you can give in this matter.

Thank you.

Respectfully,

Wook

From: Brandon Leeds <brandon@sofipaperproducts.com>
Sent: Tuesday, November 22, 2022 6:20 PM
To: Chung, Wook <WChung@mmwr.com>
Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>
Subject: Re: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION**** External Email

Hello Wook,

I have been well. I hope you are doing well too.

Regarding the matter at hand, I appreciate you willing to offer a full refund. That being said, given our company time spent on this and time without the money, I feel it is appropriate to settle for an additional \$500.

It is my understanding this case is being escalated up the ranks to hopefully create a precedent for future cases.

Best,
Brandon

On Fri, Nov 18, 2022 at 10:35 AM Chung, Wook <WChung@mmwr.com> wrote:

Dear Mr. Leeds,

How are you? It has been a while.

Our client has agreed to give you the full refund. As per its protocol, we attach the settlement agreement for your review and execution.

Please send us the W9 as well.

Thank you.

Regards,

Wook

Exhibit D

From: Shadrack Scheirman <sscheirman@fmc.gov>

Sent: Tuesday, November 29, 2022 12:58 PM

To: Brandon Leeds <brandon@sofipaperproducts.com>; Chung, Wook <WChung@mmwr.com>; BOE <BOE@FMC.gov>

Cc: DeOrchis, Vincent M. <VDeOrchis@mmwr.com>; Kielland, Kaspar <KKielland@mmwr.com>

Subject: RE: FW: Charge Complaint 2022004 - (SOFI v. MSC)

****CAUTION** External Email**

Dear Mr. Chung and Mr. Leeds,

My apologies for the delayed response. Thank you for contacting me regarding Charge Complaint 20220004. I am forwarding your emails to the Office of Enforcement at BOE@fmc.com as your case is currently pending there.

My hope is that you and yours had a happy Thanksgiving.

Sincerely,
Shad

Shadrack L. Scheirman
Area Representative | Federal Maritime Commission
Seattle-Tacoma Office | P.O. Box 7841 | Tacoma, WA 98417
Tel (253) 922-7622 | Cell (206) 595-6456
www.fmc.gov | sscheirman@fmc.gov

Exhibit E

Montgomery McCracken Walker & Rhoads LLP1735 Market Street
21st Floor
Philadelphia, PA 19103-7505

Citizens Bank, N.A. - PA

Check Number: 52008

3-7615/360

Date: 02/13/2023

PAY EXACTLY: One Thousand and 00/100 Dollar(s)

\$1,000.00**PAY
TO THE
ORDER OF**SOFI Paper Products LLC**
13727 SW 152nd Street
(PMB 3722)
Miami, FL 33177

397811

Payee: **SOFI Paper Products LLC**
Vendor ID: **28079.01**Check #: **52008**
Check Date: **02/13/2023**

Montgomery McCracken Walker & Rhoads LLP

Invoice #	Invoice Date	Description	Amount
2/13/23	02/13/2023	Full Refund of Claim	\$1,000.00



MEDITERRANEAN SHIPPING COMPANY (USA) INC.

420 Fifth Avenue
New York, NY 10018
Phone (212) 764 - 4800 Fax (212) 827 - 1639

www.msc.com

February 13, 2023

SOFI Paper Products LLC
Attn.: Mr. Brandon Leeds
13727 SW 152nd Street
(PMB 3722)
Miami, Florida 33177

Dear Mr. Leeds,

Please find the enclosed check that represents the full refund of the claim that you filed in the Charging Complaint 2022004 against our Company, Mediterranean Shipping Company, S.A., with the Federal Maritime Commission.

The refund check from our attorneys has been sent as original to the following address: 13727 SW 152nd St., PMB 3722, Miami, FL 33177. A copy of this letter and of the refund check has been sent to 5130 N. Bay Rd., Miami Beach, Florida, 33140.

Sincerely yours,

A handwritten signature in black ink, appearing to read 'Nicholas Hargreaves', with a long horizontal flourish extending to the right.

Nicholas Hargreaves
General Manager, Legal Department
Mediterranean Shipping Company (U.S.A.) Inc



<i>package id</i>	<i>from</i>	<i>vendor</i>
0081732	Wook Chung (07897)	FedEx
<i>ship date</i>	Montgomery McCracken	<i>tracking number</i>
Mon, Feb 13 2023	437 Madison Avenue	394561799962
<i>to</i>	23rd Floor	<i>service</i>
Brandon Leeds	New York, NY 10022	FedEx Standard
SOFI Paper Products LLC	US	Overnight®
13727 SW 152nd Street	<i>billing</i>	<i>packaging</i>
PMB 3722	MSC Mediterranean Sh...ny	FedEx® Envelope
Miami, FL 33177	SA.Charge Complaint	<i>signature</i>
United States	Inq...(FMC)	Deliver Without Signature
212 867 9500	(70439.00004)	<i>courtesy quote</i>
<i>residential address</i>	<i>operator</i>	31.66
No	Kathleen Murphy	<i>Quote may not reflect all</i>
<i>return label</i>	212-551-7741	<i>accessorial charges</i>
No	kmurphy@mmwr.com	
<i>notification type</i>	<i>create time</i>	
Delivery	02/13/23, 1:08PM	
<i>notification recipients</i>		
wchung@mmwr.com		
skennedy@mmwr.com		

Exhibit F



February 23, 2023

Dear Customer,

The following is the proof-of-delivery for tracking number: 394561799962

Delivery Information:

Status:	Delivered	Delivered To:	Shipping/Receiving
Signed for by:	A.TORRES	Delivery Location:	13727 SW 152ND ST
Service type:	FedEx Standard Overnight		
Special Handling:	Deliver Weekday; No Signature Required		Miami, FL, 33177
		Delivery date:	Feb 14, 2023 12:53

Shipping Information:

Tracking number:	394561799962	Ship Date:	Feb 13, 2023
		Weight:	0.5 LB/0.23 KG

Recipient:
Brandon Leeds, SOFI Paper Products LLC
13727 SW 152nd Street
PMB 3722
Miami, FL, US, 33177

Shipper:
Wook Chung, Montgomery McCracken
437 Madison Avenue
23rd Floor
New York, NY, US, 10022

Reference

70439-00004



Thank you for choosing FedEx